X-FAB: turning qualified capacity into profit

X-FAB can capture the growing need for power conversion, sensing and optical integration through specialty manufacturing processes that customers take time and money to qualify. It already has substantial installed capacity. The investment case turns on accepted customer production filling that capacity and generating enough gross profit to cover factories, engineering and support.

Automotive recovery and medical demand support the current business. Data-center power, timing, cooling and photonics create additional routes. The model assigns a 45% probability to a defined, faster data-center conversion path and includes the manufacturing and support costs of that growth. Its selected Q4 2027 ceiling is about EUR 17 per share.

Snapshot	Current research state
Date and cutoff	21 October 2026, early Toronto; Q3 results are still scheduled for 29 October.
Status / classification	Covered; holding status not asserted. Specialty-foundry beneficiary with process switching friction and selective temporal bottlenecks; utilization dependent.
Analytical score / band	43 / 60 = 72%; Watchlist
Protected Excel Base	72; retained independently from the analytical score
Historical quote	About EUR 5; 20 October 2026 regular close in Paris. Exact historical quote remains in the bound model.
Shares	About 131 million issued; about 131 million weighted shares. The forward denominator is an explicit 131 million proxy.
Market capitalization	Actual current capitalization was not independently verified. Forecast-share arithmetic is not presented as actual capitalization.
Selected valuation quarter	Q4 2027; earnings window Q4 2027 through Q3 2028
Valuation basis	20 x four-quarter IFRS operating profit; USD profits translated once to EUR.
Active earnings window	About USD 127 million operating profit
Currency and units	Financial model USD millions; ceiling EUR per share; shares in millions.

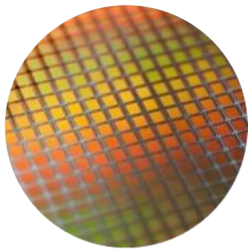
Reader-facing amounts and percentages are rounded to whole numbers. Exact values remain in the model and linked calculation records. Rounded components can differ from rounded totals. Original source exhibits retain their original precision. Forecast timing, product allocations and manufacturing economics are LOW-confidence analytical assumptions.

The process moat and its limits

Specialty analog processes combine high-voltage devices, embedded functions, sensors and reliability requirements. X-FAB supports customer design, process integration, qualification and manufacturing across automotive, industrial and medical applications. Qualification creates switching friction within an established product; each new generation still needs to win the customer.

Business units

Comprehensive portfolio of technologies



Smart CMOS & SOI

- Feature-rich technology portfolio offering the integration of various functionalities on one chip including voltage ranges up to 400V
- Wide operating temperature range from -40 to +175°C



Microsystems & Photonics

- MEMS with or without integrated CMOS
- Microfluidics
- Advanced wafer-scale assembly and heterogeneous integration
- Silicon nitride photonics



Wide bandgap

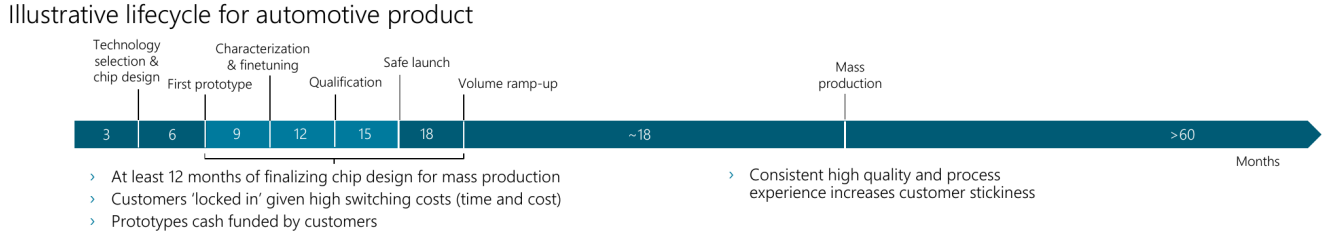
- 6-inch silicon carbide (SiC)
- 8-inch gallium nitride (GaN) on silicon
- Standard platforms and customization

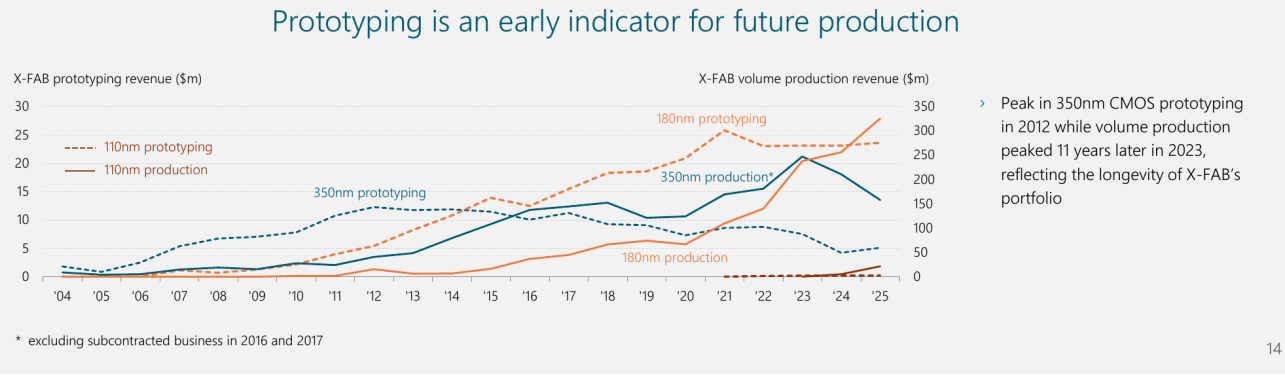
8

X-FAB Q2 2026 investor presentation, physical page 8. The three technology units are Smart CMOS/SOI, Microsystems/Photonics and Wide Bandgap. Their end markets overlap; they are not extra revenue categories.

The company describes about 1,650 products in production and more than 500 in prototyping, with some programs lasting over 20 years. Its manufacturing economics benefit when many qualified products use the same installed base. Around 60% current utilization leaves room for volume growth, while also exposing fixed-cost drag.

Prototyping translating into production





X-FAB Q2 2026 presentation, physical page 14. Original illustrative design, qualification and production lifecycle. The sequence shows why switching takes time; it does not establish a dated order for any particular customer.

The annual report states that customers can source elsewhere and competitors can win both new programs and existing business. Specialty capability supports retention; spare capacity and competing suppliers constrain broad scarcity pricing. A stronger bottleneck classification requires evidence of a specific qualified process or delivery corridor becoming difficult to replace.

XFAB / 21 OCTOBER 2026 / FRAMEWORK 8.0

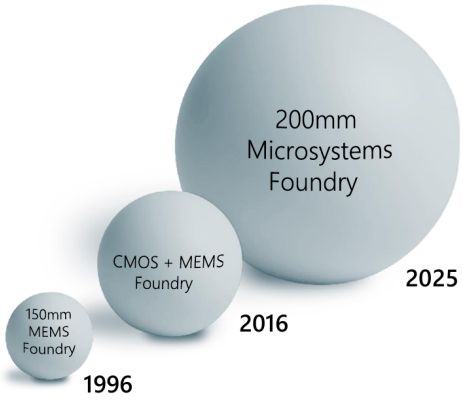
Supercycle, S-curve and the expansion lens

X-FAB spans several adoption curves. Automotive and established analog processes are mature, with current inventory correction and recovery. Advanced sensing, microfluidics and integrated microsystems are expanding. Data-center power is moving through several architecture transitions, while the company expects photonics volume in 2028.

Application phase	Engineering path	Model treatment
Current infrastructure	Power devices, high-voltage control, timing, sensing and cooling support operating data centers.	Existing DC receipts are embedded in technology revenue. Reference DC grows alongside the technology spine.
Physical AI and adjacent demand	Robotics uses sensors and actuators; electrified vehicles use battery monitoring, isolation and power conversion; medical tools use integrated sensing and fluidics.	Framework adjacent-market planning weight 50%; no second revenue multiplier. Supported customer programs feed the same product vectors.

Application phase	Engineering path	Model treatment
Longer-term applications	Silicon photonics, quantum, AR/VR and heterogeneous integration use the company's process and material capabilities.	Framework distant-application planning weight 20%. Qualification, customer success and production timing remain open; no generic quantum or space dollar addition.

Tenfold growth in total addressable market



- Successful transitioning from 150mm MEMS to microsystems foundry
  - Novel material integration
  - Wafer level chip scale microsystems on
    - X-FAB CMOS
    - Alien (non-X-FAB) CMOS
  - 200mm MEMS
- Why it matters:
  - 10x total addressable market increase (TAM)
  - More and different customers
  - More and different applications
  - Higher average selling price (ASP)

Investor Day 2025 71

X-FAB Investor Day 2025, physical page 10, printed slide 71. Management illustrates a tenfold expansion in addressable market from 150 mm MEMS to 200 mm microsystems. This is a market-scope claim, not tenfold company revenue guidance.

Integrated functionality can broaden the company's processing wallet and serve new uses. Each opportunity needs qualified volume, realized pricing and incremental costs. The same sensing or optical device cannot be counted in automotive, industrial and data centers at once. The model captures the company processing wallet rather than the complete device or system price.

Latest actual and current guidance

Metric, USD million unless stated	Q2 2026 actual	Q3 2026 model / guide
Reported revenue	200	200 selected; company range 195-205 before IFRS 15
Delivery-basis revenue	196	200; forecast IFRS 15 adjustment zero
Gross profit	30	34
Net operating expenses	28	28
IFRS operating profit	2	5
Depreciation and amortization	32	32 held as a model proxy
EBITDA	34	37 selected; company margin range 17-20%
Selected EBITDA per USD 1,000 sales	About 168 reported	185, exact midpoint expressed without decimal percentages
Status	Released 30 July; quarter ended 30 June	Actual September quarter remains unreleased at cutoff

Quarterly overview

xfab

in millions of USD, except otherwise stated	Q2 2026	Q2 2025	Q1 2026	growth vs. Q2 2025	growth vs. Q1 2026
Revenue	199.8	215.3	195.6	-7%	2%
Gross profit	30.5	49.9	30.7	-39%	-1%
% margin	*15.3%*	*23.2%*	*15.7%*		
EBIT	2.1	21.7	2.3	-90%	-7%
% margin	*1.0%*	*10.1%*	*1.2%*		
Net financial result	-4.4	-17.4	1.3		
Income tax	-12.4*	-4.7	(2.6)		
Net profit	(14.8)	(0.4)	0.9	n.m.	n.m.
% margin	*-7.4%*	*-0.2%*	*0.5%*		
EBITDA	33.6	51.6	34.2	-35%	-2%
% margin	*16.8%*	*24.0%*	*17.5%*		
Capex	(24.2)	(53.7)	(26.0)	-55%	-7%
% revenue	*-12.1%*	*-25.0%*	*13.3%*		
Net debt	312.3	310.4	291.4	n.m.	n.m.
Headcount (in #)**	3,975	4,309	4,031	-8%	-1%

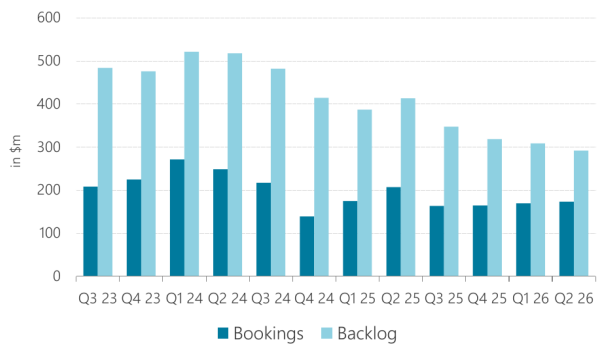
* includes non-cash impact of USD -11.0 million related to the derecognition of deferred tax assets at the Group's Malaysian subsidiary
** Headcount calculated as the average number of all employees on payroll plus borrowed persons, excluding absent employees and trainees, and taking short-time work effect into account; part-time employees converted into full-time equivalents

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X-FAB Q2 2026 presentation, physical page 36. Original actual financial overview. EBITDA includes substantial depreciation; the sanctioned valuation uses operating profit.

Outlook

Bookings & backlog



Guidance

- Q3 2026 revenue in the range of USD 195-205 million
- Q3 2026 EBITDA margin in the range of 17-20%
- Based on an average exchange rate of 1.14 USD/EUR and not taking into account the impact of IFRS 15

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X-FAB Q2 2026 presentation, physical page 44. Original Q3 guidance and bookings/backlog. Guidance excludes IFRS 15 and uses 114 US dollars per 100 euros.

Calendar and fiscal quarters coincide for X-FAB. The near-quarter model selects the revenue and EBITDA midpoints, subtracts the last reported quarterly depreciation amount, and allocates gross profit across products. Neither the product split nor flat depreciation is company guidance. The Q4 2026 operating assumptions remain forecasts.

The September reviewed half-year report contains rounding-level differences of one or two thousand dollars versus the July release and between its own subtotals. Period-specific reported values are retained in the underlying evidence. These differences carry no material operating forecast increment.

XFAB / 21 OCTOBER 2026 / FRAMEWORK 8.0

Revenue mix, bookings and customer concentration

Q2 delivery-basis technology revenue was about $157 million CMOS/SOI, $29 million Microsystems/Photonics and $11 million WBG. Automotive represented about $116 million, industrial $45 million and medical $21 million. Technology and end market are different views of the same sales.

Quarterly revenue by market segment and technology

	in millions of USD	Q3 2024	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026	Q2 y-o-y growth
by market segment	Automotive	146.0	128.6	135.4	143.4	146.9	132.6	121.6	116.0	-19%
	Industrial	31.5	36.1	39.3	47.2	47.6	50.5	52.0	45.2	-4%
	Medical	12.1	16.5	13.8	15.1	21.2	21.2	19.2	21.0	39%
	Subtotal core business*	189.6	181.2	188.6	205.7	215.7	204.3	192.9	182.1	-11%
		92.9%	92.1%	93.2%	94.2%	94.2%	93.7%	93.6%	92.9%	
	CCC**	14.2	15.1	13.6	12.2	13.3	13.6	12.7	13.5	11%
	Others	0.1	0.5	0.2	0.4	0.0	0.3	0.2	0.3	
	Revenue*	204.0	196.8	202.3	218.3	228.9	218.1	205.8	196.0	-10%
by technology	Smart CMOS & SOI	175.0	170.8	173.4	185.1	191.8	182.9	156.9	156.7	-15%
	Microsystems & Photonics	21.6	20.2	22.9	25.3	27.5	25.0	33.7	28.7	14%
	Wide-bandgap technologies	7.4	5.8	6.0	7.9	9.6	10.2	15.1	10.6	34%
	Revenue*	204.0	196.8	202.3	218.3	228.9	218.1	205.8	196.0	-10%

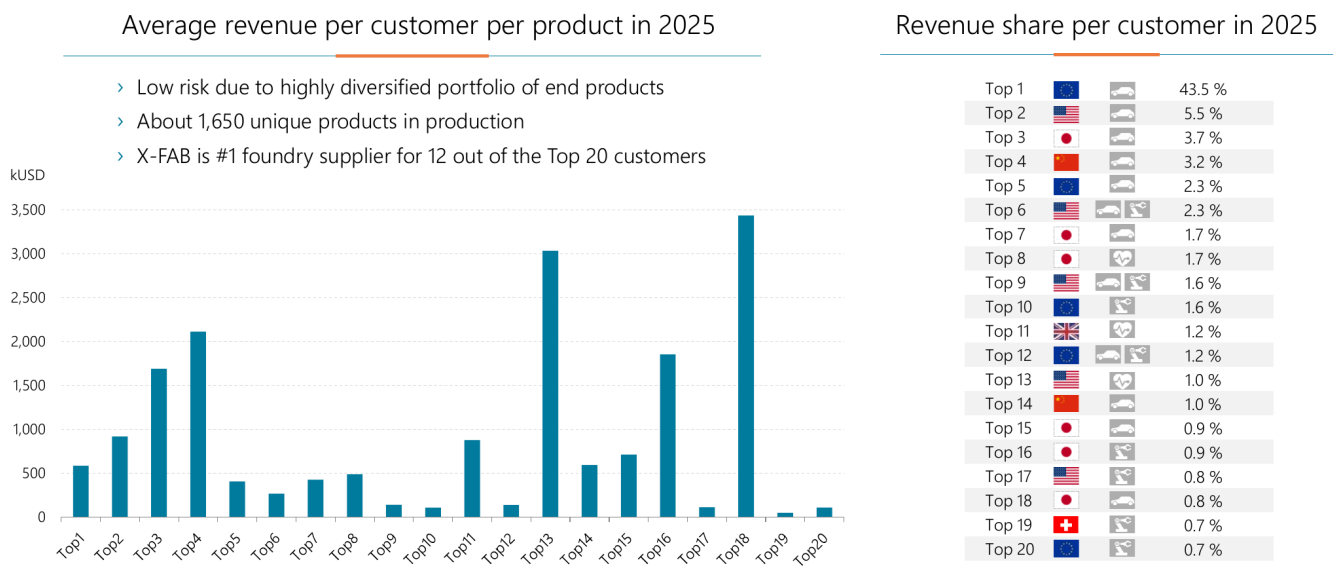
* excluding impact from revenue recognized over time in accordance with IFRS 15
** Consumer, Communications & Computer

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X-FAB Q2 2026 presentation, physical page 37. Original technology and end-market tables. All technology figures exclude IFRS 15 and are rounded, so they cannot replace exact IFRS group totals.

Bookings were about $173 million and backlog about $292 million. The adjusted book-to-bill improvement excludes the Erfurt end-of-life program. Overall bookings remained below delivery-basis revenue, and the total backlog declined. Automotive bookings and design wins support gradual recovery while current receipts still reflect customer inventory adjustments.

Diversified product range



X-FAB Q2 2026 presentation, physical page 12. Original 2025 customer concentration: top customer about 44% and top five about 58%. Multiple products reduce product concentration but leave material customer concentration.

Melexis remains the principal customer exposure. Its recovery can improve X-FAB loading, but customer inventory changes and manufacturing allocations can move wafer orders differently from end-product sales. Annual-report disclosure that customers can purchase elsewhere remains a material counterweight to design-in stickiness.

Customer demand and technology-specific competition

Melexis
INNOVATION WITH HEART

CONFORM IFRS *in k EUR*	HY 2026	HY 2025	YOY change (%)
Sales	419,152	409,837	2%
Gross result	168,548	158,282	6%
Gross Margin	*40.2%*	*38.6%*	
EBIT	71,745	64,634	11%
EBIT in %	*17.1%*	*15.8%*	
EBITDA	97,659	91,343	7%
EBITDA in %	*23.3%*	*22.3%*	
Net result	53,869	62,403	-14%
Net result per share (EPS)	1.33	1.54	
CAPEX	20,011	16,354	

Sales for the first half year of 2026 were 419.2 million EUR, an increase of 2% compared to the first half year of 2025. The EUR/USD exchange rate evolution had a negative impact of 2% on sales compared to the first half year of 2025.

The gross result was 168.5 million EUR or 40.2% of sales, an increase of 6% compared to the same period last year. R&D expenses were 14.1% of sales, G&A was at 6.7% of sales and Selling was at 2.2% of sales.

The operating result was 71.7 million EUR or 17.1% of sales, an increase of 11% compared to 64.6 million EUR in the same half year of 2025.

The net result was 53.9 million EUR or 1.33 EUR per share, a decrease of 14% compared to 62.4 million EUR or 1.54 EUR per share in the first half year of 2025.

Dividend
The Board of Directors decided to pay out an interim dividend of 1.30 EUR gross per share. The Melexis shares will start trading ex-coupon on October 13, 2026 (opening of the market). The record date is October 14, 2026 (closing of the market) and the dividend will be payable as from October 15, 2026.

Outlook
Melexis expects sales in the third quarter of 2026 to be in the range of 220 to 225 million EUR.
For the second half of 2026, Melexis expects sales to be between 445 and 455 million EUR, with a gross profit margin around 41% and an operating margin around 18%, all taking into account a EUR/USD exchange rate of 1.15 for the remainder of the year. For the full year 2026, Melexis expects CAPEX to be around 40 million EUR.

Business update
Sales of 217.1 million EUR in the second quarter of 2026 grew 7% sequentially and 3% versus the same period last year, resulting in first half year 2026 sales of 419.2 million EUR, above our guidance.
The outperforming applications were steering & braking, and thermal management.
Automotive applications represented 89% of total sales in the second quarter of 2026.

New product launches in the second quarter further strengthens our offering in growing automotive trends such as electrification, premiumization and ADAS.

2 Melexis Financial Press Release
Regulated Information

Melexis, 29 July 2026 results release, physical page 2. Principal customer guides Q3 sales EUR 220-225 million and H2 EUR 445-455 million. These are Melexis product sales, not X-FAB wafer orders.

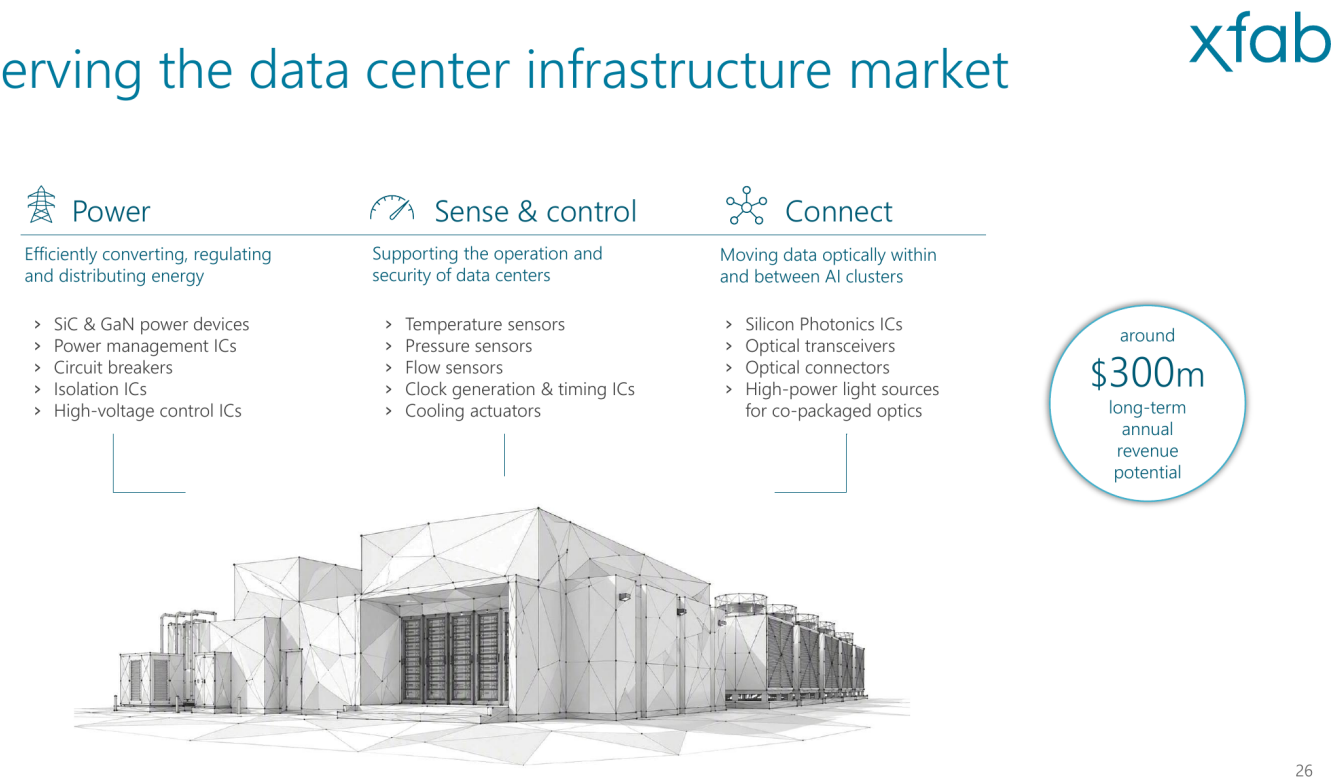
Melexis reported roughly 7% sequential sales growth in Q2 and lower inventory in H1. This supports the automotive recovery pathway embedded in CMOS. Orders can still lag customer sales, and the same customer recovery is not added twice as an independent DC or robotics opportunity.



Navitas Q2 2026 presentation, physical page 5. Primary customer material identifies GlobalFoundries for its US8-inch GaN ramp and TSMC buffer stock. X-FAB's established relationship supports SiC; this slide does not award Navitas GaN to X-FAB.

Competition must be mapped by process. Integrated device makers and other specialty foundries can compete for analog and power programs. Photonics competes across different SOI, silicon-nitride and active-material ecosystems. Navitas's named GaN supplier is a concrete example of customer growth benefiting another foundry. X-FAB's SiC relationship cannot absorb the entire customer power wallet.

Data-center opportunity: defined receipts and timing



X-FAB Q2 2026 presentation, physical page 26. Original management estimate: around $300 million long-term annual DC revenue potential across power, sensing/control and connectivity. No realization year or product allocation is committed.

The July management Q&A describes current annual DC revenue around $20-30 million, mostly SiC with some CMOS and photonics-related activity. The $25 million midpoint is a reference proxy. A defined conditional path reaches $75/$150/$225/$300 million in 2027-2030. Management did not supply those dates or allocations.

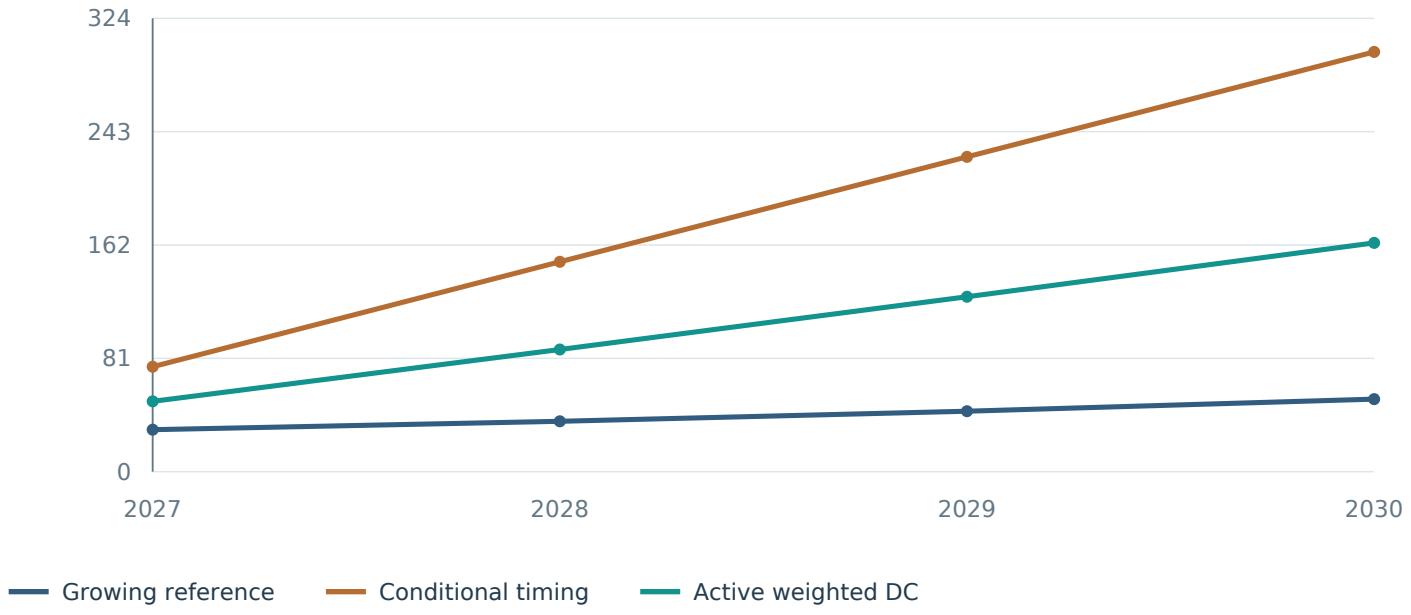
DC outcome, USD million annually	2027	2028	2029	2030
Reference current 25 growing 20% per year	30	36	43	52
Conditional timed receipts	75	150	225	300
Active: reference plus 45% of difference	50	87	125	164
Weighted increment over growing reference	20	51	82	112

The 45% probability applies jointly to this exact timed commercial outcome. The reference already grows with the technology demand spine. Manufacturing and support are evaluated in coherent reference and conditional states, then weighted once. No additional probability is applied to the final ceiling or Base. This two-state hypothesis is a model lens rather than an exhaustive distribution of every possible business outcome.

The bridge from DC receipts to operating profit

Annual DC receipts embedded in the technology model

USD millions per year



LOW model paths. Management gives an undated USD 300 million opportunity; the annual schedule, allocation, 20% reference growth and 45% probability are analytical assumptions.

Year	Reference DC	Conditional DC	Active DC
2027	30	75	50
2028	36	150	87
2029	43	225	125
2030	52	300	164

Active window Q4 2027-Q3 2028	USD million, rounded
Weighted extra DC receipts	43
Incremental manufacturing costs	17
Incremental support/R&D/SG&A	3
Weighted incremental operating profit	23

The company captures foundry receipts for qualified products. A customer's whole power module, GPU rack or data-center capex is outside that receipt boundary. Additional materials and processing consume 30%/35%/50% of the respective CMOS/Microsystems/WBG receipts under the cost proxy; support consumes $80 per $1,000 of DC growth over the present midpoint. Fixed factories remain a cost in both outcomes.

Photonics, GaN and general SpaceX/AI spending already overlap the joint DC opportunity. A specific new awarded wafer allocation or a separately bounded customer wallet would be required for another increment. Source enthusiasm and a broad GW figure do not identify X-FAB's accepted wafer receipts.

Technology allocation and recognition

Conditional DC allocation, USD million	2027	2028	2029	2030
Smart CMOS/SOI	30	60	90	110
Microsystems/Photonics	5	25	50	80
Wide bandgap	40	65	85	110

These allocations are LOW-confidence proxies. All three products share one commercial-path probability; they are not independent wins. The 2027 Microsystems/DC amount represents sensing, cooling or development/NRE. The company still expects photonics volume in 2028. Revenue recognition follows development milestones or accepted wafer production rather than capacity reservation, grant award or construction.

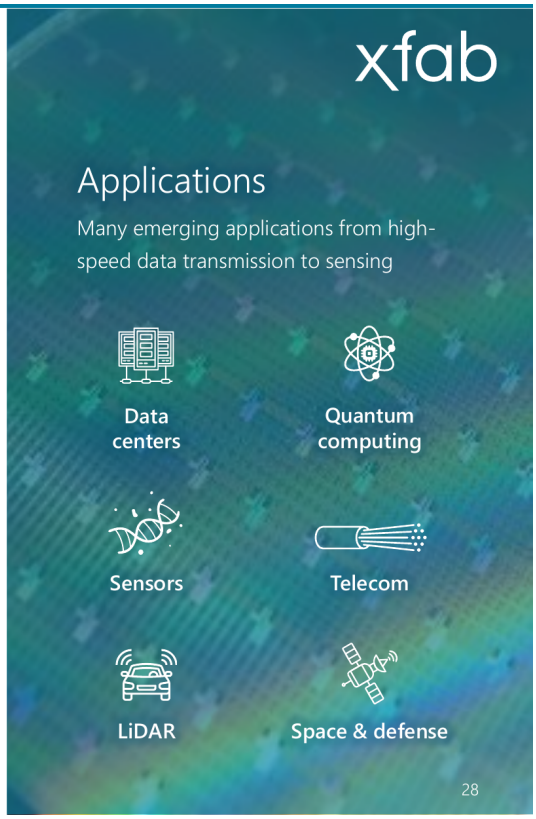
Silicon photonics

Combining the best of silicon and advanced photonics

- Co-optimization of technology, design, and system leveraging X-FAB's expertise in heterogeneous integration
- Significantly increases value creation by X-FAB
- Three silicon photonics projects in development with key partners
  - accounted for 8% of total prototyping revenue in 2025 with volume production to commence in 2028
- Broadening capabilities of established European Photonics supply chain

Photonic IC benefits

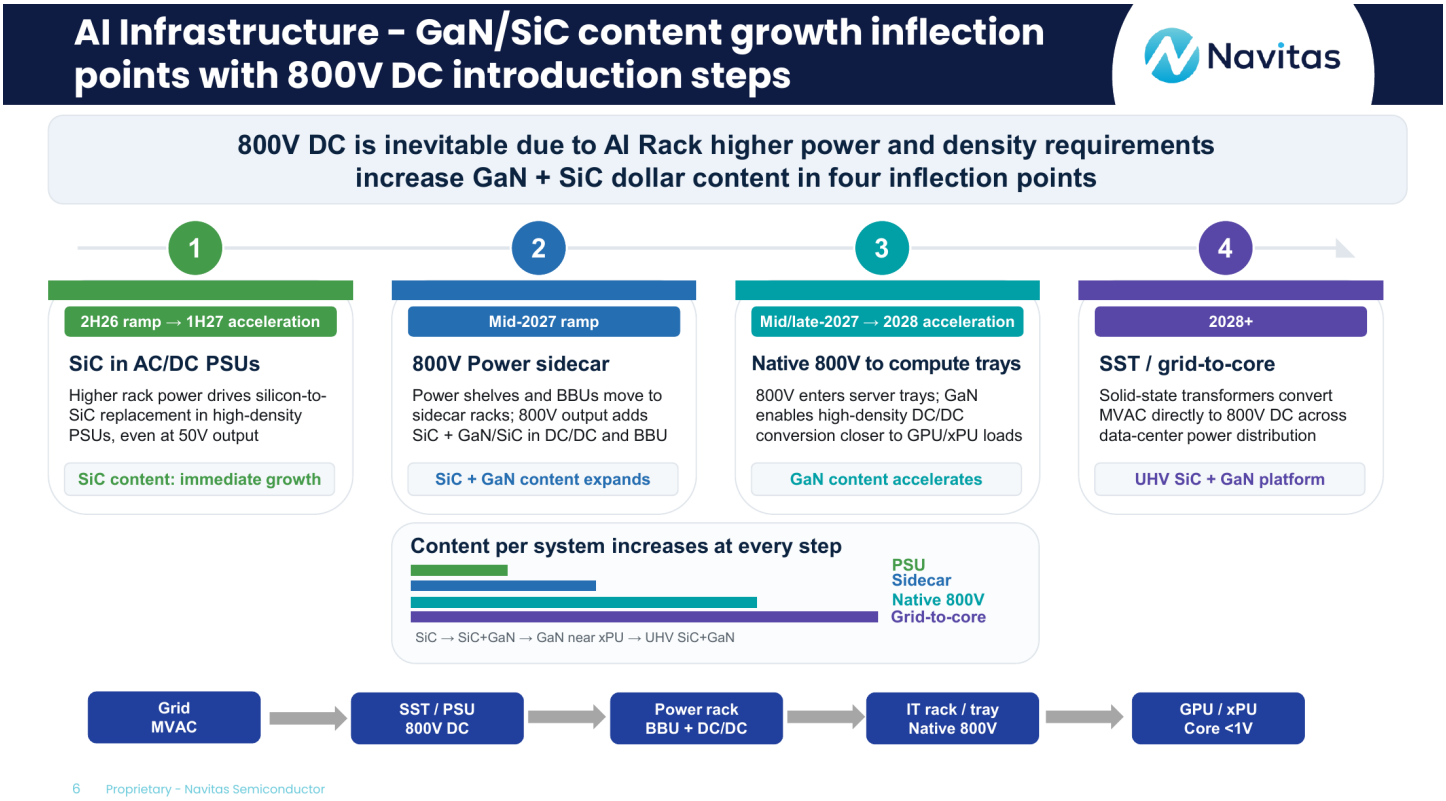
- Enables ultra-fast data transfer
- Energy-efficient and smaller devices
- Electromagnetic robustness



X-FAB Q2 2026 presentation, physical page 28. Three photonics development projects, 8% of 2025 prototype revenue and an expected 2028 volume start. The source supports timing and capability, without disclosing customer program amounts.

LIGENTEC's expanded January partnership provides a customer interface for XPH90 SOI alongside low-loss silicon nitride and planned thin-film lithium niobate integration on 200 mm wafers. It improves access to future customer designs. It does not establish current high-volume InP laser fabrication or an exclusive optical-system award.

Power architecture roadmap and adoption risk



Navitas Q2 2026 presentation, physical page 6. A customer roadmap: SiC PSU growth inH2 2026/H1 2027,800 V sidecars inmid 2027, native 800 V later 2027-2028 and solid-state transformers from 2028. Timing is a management forecast and X-FAB capture remains process specific.

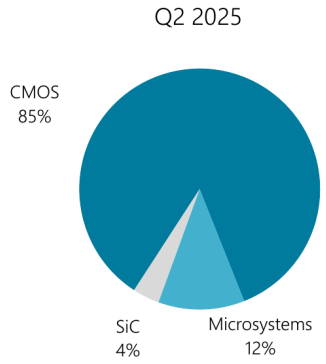
Higher power density raises the value of efficient switching, conversion and protection. SiC can gain content in existing PSU architectures before an entire facility moves to native 800 V distribution. Later GaN and ultra-high-voltage stages bring additional competitors, qualification requirements and manufacturing choices.

The staged sequence reduces reliance on a single adoption date, while keeping supply roles separate. The active WBG forecast includes a bounded mixed-technology opportunity. Navitas GaN is assigned to its named supplier; X-FAB receives no automatic GaN allocation from that relationship. Architecture delays, a lost SiC program or lower die content would reduce the company outcome.

Growth spines and calibrated non-DC demand

Revenue by technologies

Comprehensive set of specialty technologies tailored to the needs of X-FAB's key end markets



	Est. CAGR 2025-2030
180nm/110nm CMOS	8%
Microsystems	20%
SiC	20%
≥350nm CMOS	flat

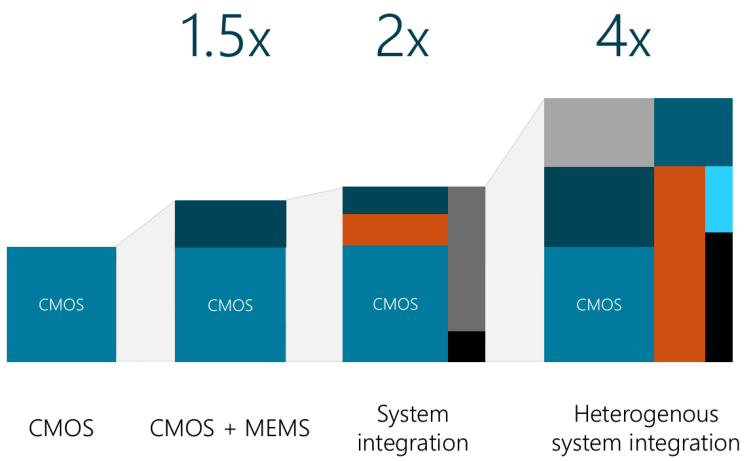
Investor Day 2025 110

X-FAB Investor Day 2025, physical page 6, printed slide 110. Management estimates 2025-2030 growth of 8% for 180/110 nm CMOS, 20% for Microsystems and SiC, and flat legacy CMOS. These are dated estimates rather than orders.

Annual planning vector, USD million	2027	2028	2029	2030	Basis
CMOS non-DC	690	710	720	730	LOW existing customer recovery/capture allowance
Microsystems non-DC	149	178	214	257	LOW2026 modeled anchor less current DC, then 20% growth
WBG non-DC	45	54	64	77	LOW2026 modeled anchor less current DC, then 20% technology spine

The Microsystems annual 2026 anchor combines latest actuals with remaining-quarter estimates. The WBG anchor does the same. Applying a technology growth estimate to a non-DC subgroup is a labeled proxy, and the WBG subgroup includes both SiC and GaN. It is tested rather than presented as exact management guidance.

Value-add is increasing CMOS ASP up to 4x



Investor Day 2025

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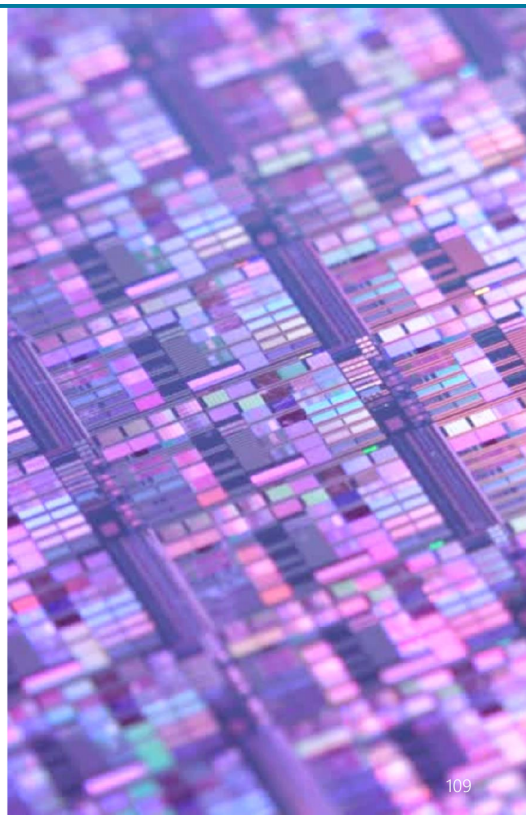
X-FAB Investor Day 2025, physical page 12, printed slide 73. Integrated functionality can raise processing ASP. Extra integration steps and yield costs also rise; this illustrates a mix opportunity, not a free global price increase.

Better mix, customer wins and effective capacity determine realized receipts. Nominal cleanroom area, wafer diameter and dies per wafer do not combine into a mechanical sales multiplier. For example, a smaller BCD-on-SOI die can increase good dies per wafer, reducing the wafers needed for a given IC shipment count.

Installed capacity and physical expansion

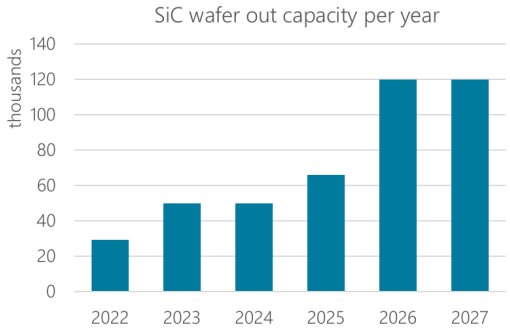
Ready for what's next

- In-house capacity in place to grow our business to an annual revenue level of USD 1.2 billion
- Core business – automotive, industrial, and medical – stable at above 90% of total revenue
- Evolution of product mix
  - increasing share of high value-add CMOS, Microsystems, and SiC business



X-FAB Investor Day 2025, physical page 5, printed slide 109. Management places existing in-house capacity in the context of about $1,200 million annual revenue. This depends on mix and qualification rather than guaranteeing sales.

Capacity – Silicon carbide



Status expansion program 2023-2025

- Capex spent: USD 100 million
  - SiC invest adjusted due to market dip
- Prepared for strong growth without additional investment:
  - installed capacity: 10,000 wopm
  - current run rate: 3,000 wopm
- US Chips Act available to support the expansion
- Customer-specific development activities increasing year-on-year

Investor Day 2025

wopm = wafer out per month 99

X-FAB Investor Day 2025, physical page 17, printed slide 99. Installed SiC capacity 10,000 wafers/month. The slide's older utilization context is superseded by the April 2026 call, which describes loading around 6,000 wafers/month.

At about 60% current utilization, management says capacity can cover the next two to three years and targets a more productive 85-90% level. More loading improves absorption, while process mix and qualifications govern saleable output. The 2030 model reaches about $1,228 million revenue, about 2% above the dated capacity-at-mix context. It needs modest mix/ASP improvement or qualified new capability.

Capacity check	Current evidence and limitation
180/110 nm	Installed expansion and customer qualification enable growth. Capacity is process specific and equipment can take time to qualify.
SiC	10,000 wafers/month installed; monthly loading and quarterly delivered wafers measure different stages.
GaN	Shares part of the CMOS corridor; the same interchangeable capacity cannot be fully counted for both.
Fab4Micro	Groundbreaking 5 October; initial production expected at end 2028. Subsequent ramps still require tools, qualification, staff and accepted demand.

Fab4Micro, capital spending and factory costs

2.5.5.21 Events after the reporting period

In July 2026, the Group approved USD 143 million in capital expenditure for the Fab4Micro project in Germany.

Tessenderlo-Ham, August 27, 2026

Managing Director, CEO

FAJEL Consultants SRL

Represented by Damien Macq

CEO

3. Shareholder information

The following table describes the structure of shareholdings in X-FAB Silicon Foundries SE at June 30, 2026:

Company	Number of shares	% of total
Elex NV	32,672,778	25 %
Sensinnovat BV	32,572,329	25 %
Sarawak Technology Holdings Sdn. Bhd.	14,948,655	11 %
Public	50,587,907	39 %
Total	**130,781,669**	**100 %**

4. Statement of the Board of Directors

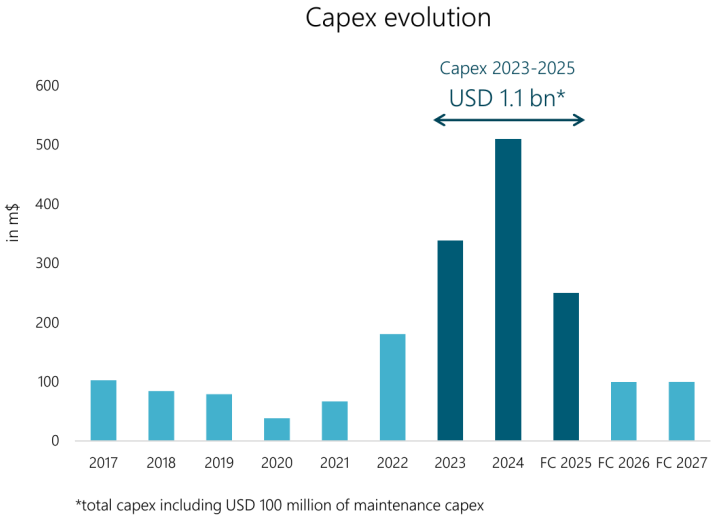
The Board of Directors certifies, on behalf and for the account of the Company, that to their knowledge, the condensed consolidated interim financial statements which have been prepared in accordance with IFRS as adopted by the EU give a true and fair view of the assets, liabilities, financial position, and profit or loss of the Company and the entities included in the consolidation as a whole; and the interim management's discussion and analysis provides a fair overview of the important events and major transactions of the issuer which occurred during the first six months of the financial year, their impact on the set of condensed consolidated interim financial statements, and a description of the main risks and uncertainties which the issuer is exposed to.

X-FAB half-year report 2026, physical page 22. Subsequent event: July approval of $143 million Fab4Micro capital expenditure. Approval establishes an investment decision, not accepted production revenue.

The original June and October releases identify EUR 127 million funding for the project, with initial production planned for end 2028. The grant reduces qualifying financing needs under its terms. Grant value, project capex and cash disbursement timing have different boundaries; they are not netted without matching scope and currency.

Additional Microsystems manufacturing costs are $15 million in 2029 and $20 million in 2030. These LOW allowances cover depreciation, staffing, qualification and ramp after initial production. The same factory costs apply in both DC outcomes, since the project also supports other Microsystems customers. The model tests zero and double these costs. No grant is booked as profit.

Return to reduced capex



- Expansion projects complete
- Low capex level in 2026 and the next few years:
  - Capex ratio of 10%, of which:
    - maintenance capex: 5%
    - capability capex: 5%
  - Thereafter return to normalized capex ratio of 15% of revenue
  - Additional capex funding possible via Chip Act and customer prepayment

Investor Day 2025

113

X-FAB Investor Day 2025, physical page 9, printed slide 113. Dated capex intensity ambition around 10% during a lower-spending phase, then 15% normalized. New project commitments and grant timing must be considered separately.

Management's Q2 deck projects roughly $100 million 2026 capex net of Chips Act funding. Cash capex and PP&E additions differ because payment timing, grants, leases and commissioning differ. Operating valuation retains depreciation in manufacturing costs; cash needs remain a separate financing constraint.

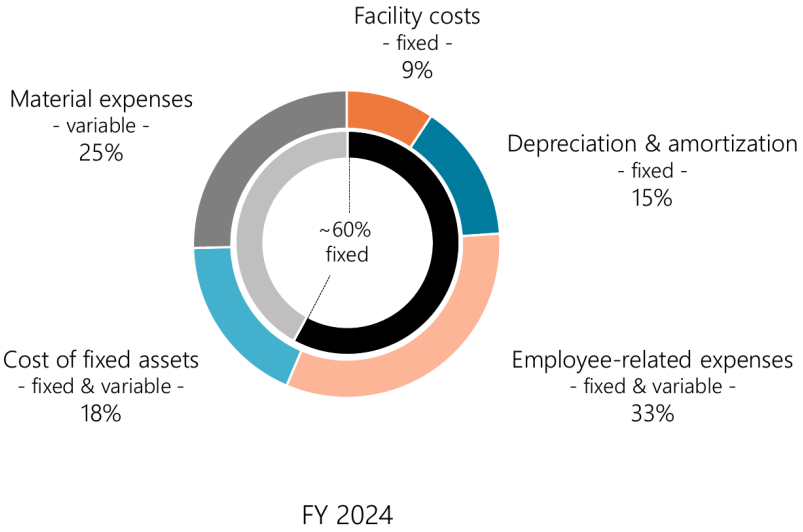
XFAB / 21 OCTOBER 2026 / FRAMEWORK 8.0

Manufacturing: explicit fixed and variable costs

Q2 group gross profit is calibrated exactly in the underlying model. Microsystems is assigned 25% gross margin and WBG 10%; CMOS receives the residual. These are LOW analytical allocations because the company does not disclose product gross margins. The IFRS 15 revenue reconciliation receives zero GP as a balancing assumption, not as a disclosed transaction margin.

Q2 calibration, USD million	CMOS/SOI	Microsystems	WBG	IFRS 15 / rounding
Receipts	157	29	11	4
Assigned / residual GP	22	7	1	0
Variable manufacturing per USD 1,000 receipts	300	350	500	No recurring forecast row
Annualized fixed factory allowance	350	46	17	0

Strong operational leverage



FY 2024

Investor Day 2025 112

X-FAB Investor Day 2025, physical page 8, printed slide 112. Original FY2024 cost structure is about 60% fixed. The April 2026 CFO subsequently described about 70% fixed; these are distinct-period observations.

Factory fixed costs grow 3% annually from the Q2 calibration, with the separate later Microsystems allowance. The resulting Q2 decomposition puts about 68% of manufacturing plus net operating costs in the fixed category, broadly consistent with the CFO's group-level observation. That cross-check supports plausibility rather than proving each product coefficient.

Gross profit equals product receipts less variable processing and fixed factory costs. Depreciation, ordinary compensation, materials and factory support remain in that manufacturing envelope. No additional depreciation charge is subtracted below gross profit. This lets volume improve absorption while retaining the cost of unused capacity.

Operating expenses, pricing and current limitations

Annual net operating expenses, USD million	2027	2028	2029	2030
Core R&D / SG&A / net other allowance	111	110	114	118
Support on all DC growth above current 25	2	5	8	11
Total net operating expenses	113	115	122	129

DC growth carries $80 additional support cost per $1,000 receipts over the current $25 million base. This includes both 20% reference growth and the weighted conditional increment. Core expenses allow for engineering, sales, administration and net other operating income; the amounts are LOW assumptions. The limited 2028 relief is consistent with intended early 2028 ERP go-live rather than a guaranteed savings amount.

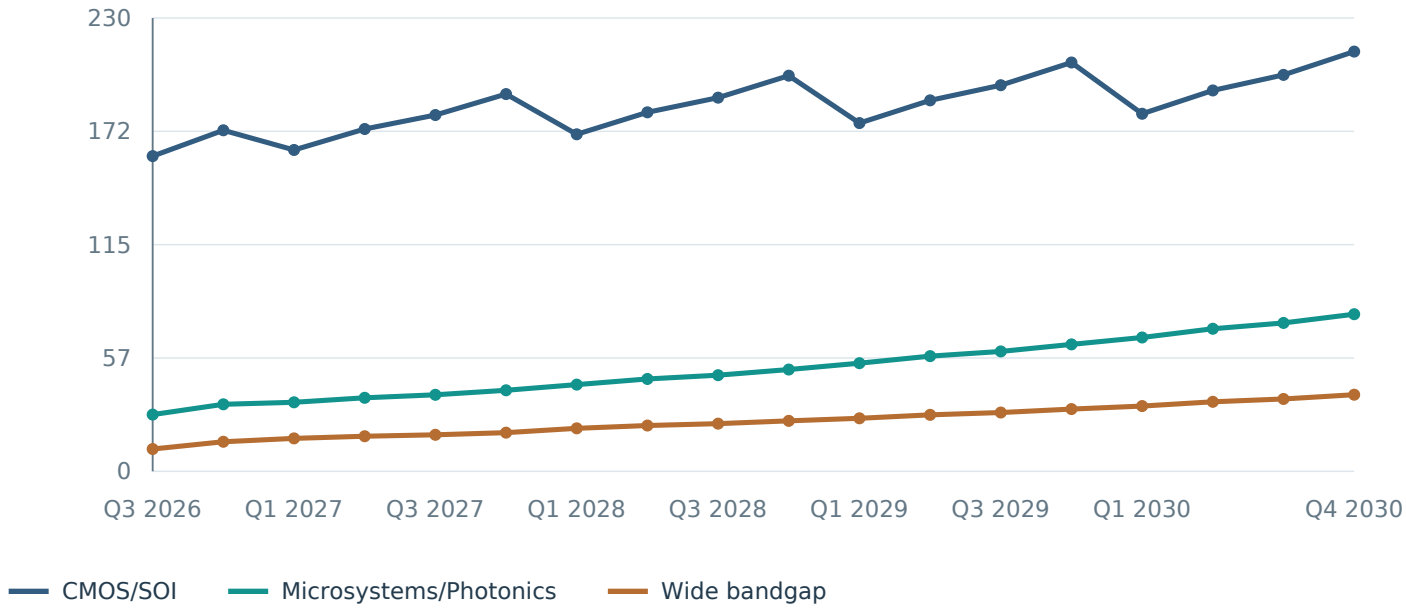
Q1 management described unusually high mask and wafer qualification costs, a high single-digit headcount reduction program and expected year-end 2026 benefits. ERP implementation raises external costs through 2027. The analyst's dollar savings question did not receive an explicit new quantitative reaffirmation, so no automatic lump-sum savings is imported.

The July pricing answer discusses raw-wafer demand, input-cost pass-through and case-by-case commercial choices. A global price increase was not announced. The model keeps no separate global pricing windfall. New qualified delivery scarcity could support a future premium, but it would require eligible receipts, a bounded price assumption, costs and overlap to be quantified together.

The full quarterly revenue mix

Technology receipts across all 18 modeled quarters

USD millions per quarter



All quarters are forecasts; Q3 2026 is guidance calibrated. DC receipts are embedded in these three vectors. Product allocations and later growth are LOW.

Quarter	CMOS/SOI	Microsystems	WBG	Total
Q3 2026	160	29	11	200
Q4 2026	173	34	15	222
Q1 2027	163	35	17	215
Q2 2027	174	37	18	229
Q3 2027	181	39	19	238
Q4 2027	191	41	20	252
Q1 2028	171	44	22	237
Q2 2028	182	47	23	252
Q3 2028	190	49	24	263
Q4 2028	201	52	26	278
Q1 2029	177	55	27	258
Q2 2029	188	58	29	275

Quarter	CMOS/SOI	Microsystems	WBG	Total
Q3 2029	196	61	30	287
Q4 2029	207	64	32	303
Q1 2030	181	68	33	282
Q2 2030	193	72	35	301
Q3 2030	201	75	37	313
Q4 2030	213	80	39	331

Receipt weights by calendar quarter are analytical seasonality assumptions. Exact weights are retained in the model, and every annual vector reconciles. The near-term guidance anchor is handled separately from later coherent reference/conditional outcomes.

Quarterly product gross profit

Quarter	CMOS GP	Microsystems GP	WBG GP	Group GP
Q3 2026	24	8	2	34
Q4 2026	33	11	3	46
Q1 2027	24	11	4	39
Q2 2027	31	12	5	48
Q3 2027	36	13	5	55
Q4 2027	44	15	5	64
Q1 2028	27	16	6	50
Q2 2028	35	18	7	60
Q3 2028	40	20	8	67
Q4 2028	48	21	8	77
Q1 2029	28	19	9	56
Q2 2029	36	22	10	68
Q3 2029	42	23	10	75
Q4 2029	50	26	11	86
Q1 2030	29	26	12	67
Q2 2030	37	29	13	79
Q3 2030	42	31	14	87
Q4 2030	51	34	15	99

USD millions, rounded. Each product has its own receipts and manufacturing cost build. Group GP sums the product GP values using exact unrounded inputs. Later product margins emerge from fixed-cost absorption and explicit factory allowances; no blanket group margin is imposed.

Smart CMOS/SOI: full manufacturing cost path

Quarter	Receipts	Variable cost	Fixed factory	Gross profit	GP / sales
Q3 2026	160	Near model	Near model	24	15%
Q4 2026	173	Near model	Near model	33	19%
Q1 2027	163	49	90	24	15%
Q2 2027	174	52	90	31	18%
Q3 2027	181	54	90	36	20%
Q4 2027	191	57	90	44	23%
Q1 2028	171	51	93	27	16%
Q2 2028	182	55	93	35	19%
Q3 2028	190	57	93	40	21%
Q4 2028	201	60	93	48	24%
Q1 2029	177	53	96	28	16%
Q2 2029	188	56	96	36	19%
Q3 2029	196	59	96	42	21%
Q4 2029	207	62	96	50	24%
Q1 2030	181	54	98	29	16%
Q2 2030	193	58	98	37	19%
Q3 2030	201	60	98	42	21%
Q4 2030	213	64	98	51	24%

USD millions, rounded. Q3/Q4 2026 use explicit near-term product allocations; later quarters use the Q2-calibrated variable/fixed decomposition. All product GP allocations and forecast cost rates are LOW analytical assumptions. Exact cost and receipt values remain in the bound model.

Microsystems/Photonics: full manufacturing cost path

Quarter	Receipts	Variable cost	Fixed factory	Gross profit	GP / sales
Q3 2026	29	Near model	Near model	8	29%
Q4 2026	34	Near model	Near model	11	31%
Q1 2027	35	12	12	11	31%
Q2 2027	37	13	12	12	33%
Q3 2027	39	14	12	13	35%
Q4 2027	41	14	12	15	36%
Q1 2028	44	15	12	16	37%
Q2 2028	47	16	12	18	39%
Q3 2028	49	17	12	20	40%
Q4 2028	52	18	12	21	41%
Q1 2029	55	19	16	19	35%
Q2 2029	58	20	16	22	37%
Q3 2029	61	21	16	23	38%
Q4 2029	64	23	16	26	40%
Q1 2030	68	24	18	26	39%
Q2 2030	72	25	18	29	40%
Q3 2030	75	26	18	31	41%
Q4 2030	80	28	18	34	43%

USD millions, rounded. Q3/Q4 2026 use explicit near-term product allocations; later quarters use the Q2-calibrated variable/fixed decomposition. All product GP allocations and forecast cost rates are LOW analytical assumptions. Exact cost and receipt values remain in the bound model.

Wide bandgap: full manufacturing cost path

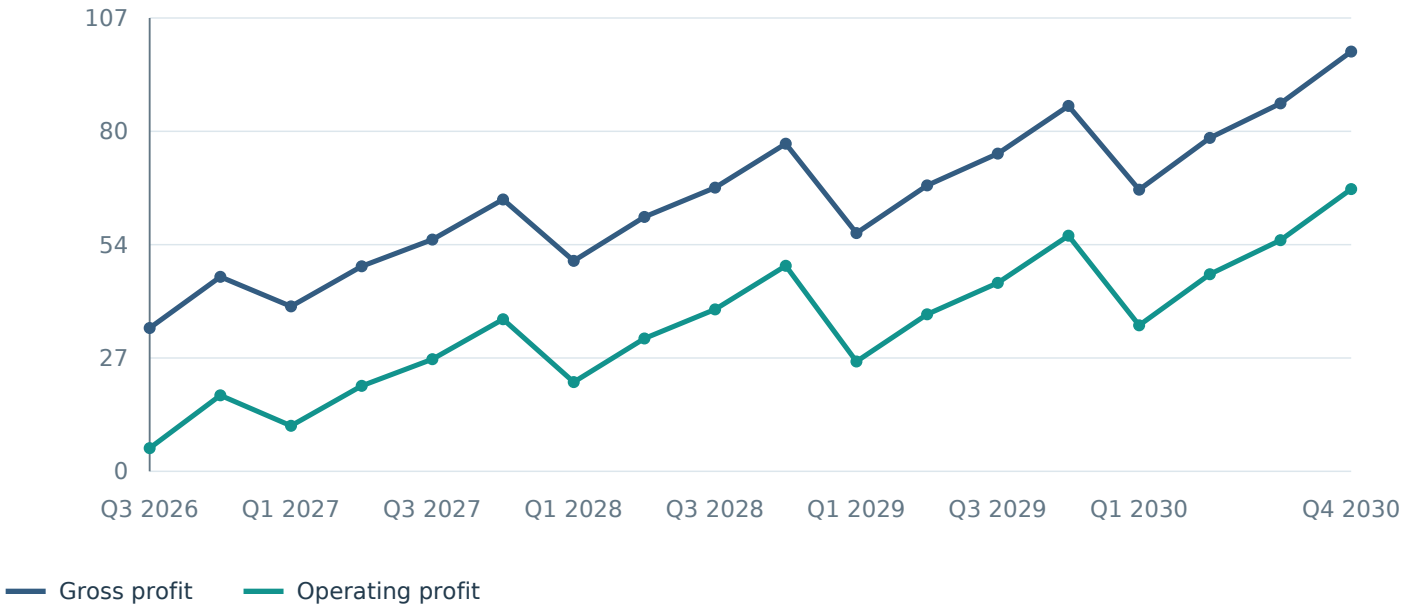
Quarter	Receipts	Variable cost	Fixed factory	Gross profit	GP / sales
Q3 2026	11	Near model	Near model	2	14%
Q4 2026	15	Near model	Near model	3	17%
Q1 2027	17	8	4	4	24%
Q2 2027	18	9	4	5	25%
Q3 2027	19	9	4	5	26%
Q4 2027	20	10	4	5	28%
Q1 2028	22	11	4	6	29%
Q2 2028	23	12	4	7	31%
Q3 2028	24	12	4	8	31%
Q4 2028	26	13	4	8	32%
Q1 2029	27	13	5	9	33%
Q2 2029	29	14	5	10	34%
Q3 2029	30	15	5	10	34%
Q4 2029	32	16	5	11	35%
Q1 2030	33	17	5	12	36%
Q2 2030	35	18	5	13	36%
Q3 2030	37	18	5	14	37%
Q4 2030	39	19	5	15	38%

USD millions, rounded. Q3/Q4 2026 use explicit near-term product allocations; later quarters use the Q2-calibrated variable/fixed decomposition. All product GP allocations and forecast cost rates are LOW analytical assumptions. Exact cost and receipt values remain in the bound model.

Operating profit and manufacturing leverage

Group gross profit and operating profit

USD millions per quarter



Model, not guidance beyond Q3 2026. Fixed manufacturing costs and net operating expenses remain explicit; later Microsystems factory costs constrain the ramp.

Quarter	Revenue	Gross profit	Net opex	Operating profit	OP / sales
Q3 2026	200	34	28	5	3%
Q4 2026	222	46	28	18	8%
Q1 2027	215	39	28	11	5%
Q2 2027	229	48	28	20	9%
Q3 2027	238	55	28	26	11%
Q4 2027	252	64	28	36	14%
Q1 2028	237	50	29	21	9%
Q2 2028	252	60	29	31	12%
Q3 2028	263	67	29	38	15%
Q4 2028	278	77	29	49	17%
Q1 2029	258	56	30	26	10%
Q2 2029	275	68	30	37	13%

Quarter	Revenue	Gross profit	Net opex	Operating profit	OP / sales
Q3 2029	287	75	31	45	16%
Q4 2029	303	86	31	56	18%
Q1 2030	282	67	32	34	12%
Q2 2030	301	79	32	47	15%
Q3 2030	313	87	32	55	17%
Q4 2030	331	99	32	67	20%

The path depends on converting qualified capacity to accepted receipts. Gross profit can respond strongly to utilization because much factory cost is fixed. A material order shortfall also moves profit sharply in the other direction. Headline revenue growth without acceptable yield, mix and cost absorption would weaken this case.

Joint outcome ledger and quarterly contribution

Quarter	Reference receipts	Conditional receipts	Active receipts	Weighted extra DC	Extra support
Q3 2026	200	200	200	0	0
Q4 2026	222	222	222	0	0
Q1 2027	210	220	215	5	0
Q2 2027	224	235	229	5	0
Q3 2027	233	244	238	5	0
Q4 2027	247	259	252	5	0
Q1 2028	225	251	237	12	1
Q2 2028	240	268	252	13	1
Q3 2028	249	278	263	13	1
Q4 2028	264	295	278	14	1
Q1 2029	240	281	258	19	2
Q2 2029	255	300	275	20	2
Q3 2029	266	312	287	21	2
Q4 2029	281	330	303	22	2
Q1 2030	257	314	282	26	2
Q2 2030	273	334	301	27	2
Q3 2030	285	348	313	28	2
Q4 2030	301	368	331	30	2

USD millions, rounded. Beginning in 2027, 55% weight belongs to the growing reference and 45% to conditional timed DC. Both carry the same fixed factory commitments and product-specific variable costs. Support changes with actual modeled DC growth. The table is the single active company case and two diagnostic endpoints, rather than competing published targets.

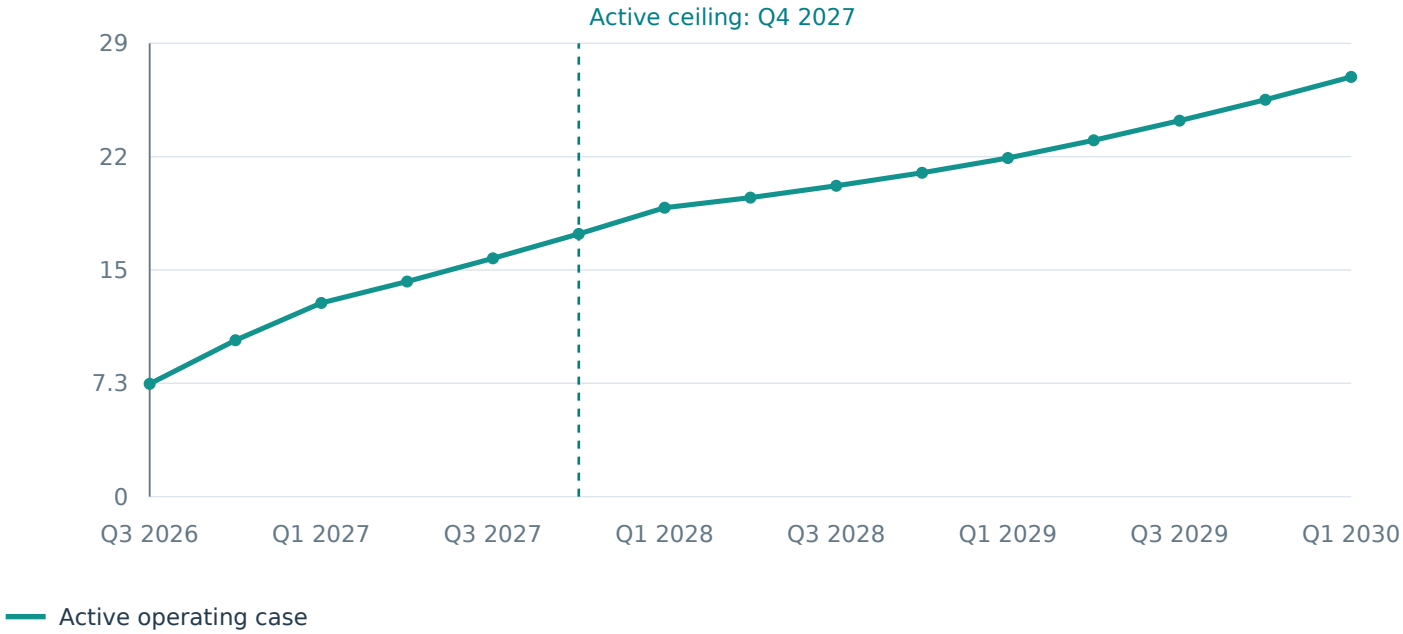
Required ledger field	Current implementation
Signal and date	July 30 management DC opportunity, grouped across release, deck and the same management call.
Exact outcome / probability	Annual USD 75/150/225/300 million DC receipts in 2027-2030 at 45% subjective probability.

Required ledger field	Current implementation
Reference / overlap	Current 25 M grows 20% annually. Conditional-minus-reference is the only weighted increment; no duplicate SpaceX, photonics or GaN block.
Recognition	Customer success, qualification, delivery and development milestones govern receipts.
Raise probability	Accepted production orders, matched DC receipts, earlier commissioning and stronger good-wafer utilization.
Reduce probability	Timing slips, failed programs, competitor capture, weaker order conversion or financing limits.

The rolling quarterly ceiling

Selected company ceiling path

EUR per share



One probability-weighted company case: four-quarter IFRS OP x 20 /131 million shares, translated at 114 USD per 100 EUR. Exact calculations use full precision.

Ceiling quarter	Forward OP, USD m	OP x	Shares, m	Ceiling, EUR
Q3 2026	54	20	131	7
Q4 2026	75	20	131	10
Q1 2027	93	20	131	13
Q2 2027	104	20	131	14

Ceiling quarter	Forward OP, USD m	OP x	Shares, m	Ceiling, EUR
Q3 2027	115	20	131	15
Q4 2027	127	20	131	17
Q1 2028	139	20	131	19
Q2 2028	144	20	131	19
Q3 2028	150	20	131	20
Q4 2028	156	20	131	21
Q1 2029	163	20	131	22
Q2 2029	172	20	131	23
Q3 2029	181	20	131	24
Q4 2029	191	20	131	26
Q1 2030	202	20	131	27

Q4 2027 is the selected valuation quarter for reviews dated October through December 2026. Its earnings window is Q4 2027 through Q3 2028. A later calendar selection is a horizon roll rather than an economic forecast revision. All fifteen available ceiling quarters are shown.

The sanctioned OP multiple does not separately deduct net debt. This convention is retained; debt and cash commitments remain material risks and funding tests. Net debt is not silently converted into a second valuation formula.

All 15 earnings windows and constituent chains

Ceiling quarter	Exact earnings window	Forward OP, USD m	OP x	Shares, m	Ceiling, EUR
Q3 2026	Q3 2026 to Q2 2027	54	20	131	7
Q4 2026	Q4 2026 to Q3 2027	75	20	131	10
Q1 2027	Q1 2027 to Q4 2027	93	20	131	13
Q2 2027	Q2 2027 to Q1 2028	104	20	131	14
Q3 2027	Q3 2027 to Q2 2028	115	20	131	15
Q4 2027	Q4 2027 to Q3 2028	127	20	131	17
Q1 2028	Q1 2028 to Q4 2028	139	20	131	19
Q2 2028	Q2 2028 to Q1 2029	144	20	131	19
Q3 2028	Q3 2028 to Q2 2029	150	20	131	20
Q4 2028	Q4 2028 to Q3 2029	156	20	131	21
Q1 2029	Q1 2029 to Q4 2029	163	20	131	22
Q2 2029	Q2 2029 to Q1 2030	172	20	131	23
Q3 2029	Q3 2029 to Q2 2030	181	20	131	24
Q4 2029	Q4 2029 to Q3 2030	191	20	131	26
Q1 2030	Q1 2030 to Q4 2030	202	20	131	27

Every chain below uses four individual quarterly operating-profit values, multiplied by 20, divided by 131 million shares, then translated once from USD to EUR. The exact FX factor is 100/114, expressed as whole integers. Displayed terms are rounded, so a displayed sum can differ from its displayed total.

Ceiling quarter	Four operating-profit quarters, USD m	Complete ceiling chain
Q3 2026	5 + 18 + 11 + 20	54 x 20 /131 x 100/114 = 7 EUR
Q4 2026	18 + 11 + 20 + 26	75 x 20 /131 x 100/114 = 10 EUR
Q1 2027	11 + 20 + 26 + 36	93 x 20 /131 x 100/114 = 13 EUR
Q2 2027	20 + 26 + 36 + 21	104 x 20 /131 x 100/114 = 14 EUR
Q3 2027	26 + 36 + 21 + 31	115 x 20 /131 x 100/114 = 15 EUR
Q4 2027	36 + 21 + 31 + 38	127 x 20 /131 x 100/114 = 17 EUR
Q1 2028	21 + 31 + 38 + 49	139 x 20 /131 x 100/114 = 19 EUR

Ceiling quarter	Four operating-profit quarters, USD m	Complete ceiling chain
Q2 2028	31 + 38 + 49 + 26	144 x 20 /131 x 100/114 = 19 EUR
Q3 2028	38 + 49 + 26 + 37	150 x 20 /131 x 100/114 = 20 EUR
Q4 2028	49 + 26 + 37 + 45	156 x 20 /131 x 100/114 = 21 EUR
Q1 2029	26 + 37 + 45 + 56	163 x 20 /131 x 100/114 = 22 EUR
Q2 2029	37 + 45 + 56 + 34	172 x 20 /131 x 100/114 = 23 EUR
Q3 2029	45 + 56 + 34 + 47	181 x 20 /131 x 100/114 = 24 EUR
Q4 2029	56 + 34 + 47 + 55	191 x 20 /131 x 100/114 = 26 EUR
Q1 2030	34 + 47 + 55 + 67	202 x 20 /131 x 100/114 = 27 EUR

Annual cross-check and capacity context

Calendar year	Revenue	Gross profit	Net opex	Operating profit	OP / sales
2027	934	206	113	93	10%
2028	1,029	254	115	139	14%
2029	1,124	285	122	163	15%
2030	1,228	331	129	202	16%

Calendar year	CMOS receipts	Microsystems receipts	WBG receipts	Dated capacity used
2027	709	152	73	78%
2028	743	191	95	86%
2029	768	238	117	94%
2030	789	295	144	102%

USD millions, rounded. These are calendar-year model cross-checks rather than annual company guidance. The 2026 model begins in Q3; no full-year group total is manufactured from those two quarters. The dated $1,200 million capacity context is mix dependent; 2030 requires modest additional capability or better realization. Fab4Micro is expected to start initial production only at end 2028.

Sensitivity, uncertainty and revision tests

Diagnostic change	Active Q4 2027 ceiling, EUR	Q1 2030 ceiling, EUR where tested
Reference technology/DC growth only	14	-
Lower probability	16	-
Active case	17	-
Higher probability	18	-
Full conditional timed DC	21	-
More variable manufacturing	16	-
Less variable manufacturing	18	-
No support on all DC growth above USD 25 million	18	-
Double support on all DC growth above USD 25 million	16	-
No later new-factory cost	17	30
Double later new-factory cost	17	24

Diagnostics alter one labeled assumption while preserving the sanctioned valuation method. More or less variable manufacturing cost is recalibrated to the same reported Q2 gross profit, then tests later absorption. The support diagnostics remove or double all support on DC growth above $25 million, including the baseline growth component.

Later factory costs do not enter the active Q4 2027 earnings window, which ends Q3 2028. Their zero/double test therefore matters for later ceilings. A financing or qualification delay can change both receipts and costs beyond these simple one-variable tests; the diagnostics do not capture every adverse outcome.

Test	Evidence that strengthens the case	Counter / failure evidence
Quarterly economics	Guide conversion into IFRS OP, better accepted-wafer utilization and disciplined cost absorption.	EBITDA rises while depreciation, yield or costs prevent OP/cash improvement.
Timed DC path	Matched customer production orders and higher DC receipts across qualified routes.	Program misses, power-architecture delay or competitor manufacturing wins.
Microsystems ramp	Commercial photonics shipments and Fab4Micro qualification following planned initial production.	NRE remains small, production timing moves out or commissioning expenses exceed allowances.
Funding	Executed refinancing and cash generation cover capex and customer repayments.	Funding capacity fails to cover debt maturities, lease obligations or deposit repayments.

Liquidity, debt and customer obligations

Cash position

Net debt development

in millions of USD	30 Jun 2026	30 Jun 2025	31 Mar 2026
Cash & cash equivalents	163.6	157.7	144.7
Short-term financial assets	0.0	4.2	0.0
Total debt	475.9	472.3	436.1
Net debt	312.3	310.4	291.4

Solid cash position

- Solid cash position complemented by credit lines
- Capex overview:
  - Q2 2026 at USD 24.2 million
  - FY 2026 projected at approx. USD 100 million (net of Chips Act funding)
- Net debt up by USD 20.9 million from Q1 2026
  - including repayment of USD 18.9 million of LTA prepayments in Q2 2026
- Going forward, X-FAB aims at achieving a sustainable balance between debt reduction, capital return, and further growth.

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X-FAB Q2 2026 presentation, physical page 41. Original cash/debt table, approximately $100 million net 2026 capex outlook and Q2 LTA repayment context.

June-end item	USD million, rounded	Economic boundary
Cash	164	Includes about 3 restricted
Gross loans and leases	476	About 255 current and 220 non-current
Net debt	312	Gross debt less cash under issuer presentation
Capacity deposits	197	Repayment or delivery obligation; not incremental sales
Future-wafer advances	40	Contract liability until settlement
Customer obligations after 12 months	53	Timing and terms differ by agreement
H1 operating cash flow	16	Includes working-capital and customer-deposit movements
H1 cash capex	50	Different from accounting additions and net project cost

2.5.5.13 Loans and borrowings

The carrying amounts of the Group's loans and borrowings are shown in the following table:

in thousands of U.S. dollars	June 30, 2026	December 31, 2025
Bank loans and overdrafts		
Fixed interest bank loans denominated in EUR	37,953	55,088
Maturity: 2026–2029		
Interest rates: 0.9%–4.27%		
Repayments in monthly or quarterly installments		
Fixed interest bank loans denominated in USD	374	415
Maturity: 2026–2028		
Interest rates: 8.25%–8.5%		
Repayments in monthly installments/at the maturity date		
Variable interest bank loans denominated in EUR	20,746	51,869
Maturity: 2029		
Interest rates: EURIBOR + 0.95%		
Repayments in monthly or quarterly installments		
Variable interest Revolving Credit Facility denominated in USD	143,630	143,610
Maturity: 2026		
Interest rates: SOFR + 1.67%		
Repayment on maturity		
Variable interest Revolving Credit Facility denominated in USD	45,000	30,000
Maturity: 2029		
Interest rates: SOFR + 1.7%		
Repayment on maturity		

in thousands of U.S. dollars	June 30, 2026	December 31, 2025
Variable interest Revolving Credit Facility denominated in EUR	65,014	67,015
Maturity: 2026		
Interest rates: EURIBOR + 1.0%		
Repayment on maturity		
Variable interest Revolving Credit Facility denominated in EUR	37,425	16,911
Maturity: 2029		
Interest rates: EURIBOR + 1.35%		
Repayment on maturity		

in thousands of U.S. dollars	June 30, 2026	December 31, 2025
Leasing arrangements		
Leasing liabilities denominated in EUR	91,370	82,017
Maturity: 2026–2034		
Interest rates: 0.15–4.67%; 3M EURIBOR + 1.0%		
Repayment in monthly installments		
Leasing liabilities denominated in USD	9,141	8,321
Maturity: 2026–2038		
Interest rates: 3.32%		
Repayment in monthly installments		
Leasing liabilities denominated in MYR	25,226	25,161
Maturity: 2026–2034		
Interest rates: 4.66%		
Repayment in monthly installments		
Total	**475,879**	**480,407**
Current loans and borrowings	**255,494**	**292,512**
Non-current loans and borrowings	**220,385**	**187,895**

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X-FAB half-year report 2026, physical page 17. Borrowings include revolving facilities and leases with different currencies and maturities.

The July CFO said a one-year extension of the older revolving facility had been requested/activated, with further credit capacity still required. The September interim report retains 2026 maturity tables and an extension option to 2027. The call and filing also differ on the precise month. A completed executed extension was not independently verified; the risk remains monitored rather than treated as either default or fully secured future funding.

XFAB / 21 OCTOBER 2026 / FRAMEWORK 8.0

Accounting, shares and currency

Reported IFRS sales can differ from delivery-basis technology sales because some long-term wafer contracts recognize production over time. Most earlier LTAs ended at the end of 2025, changing the timing adjustment. The forecast uses zero IFRS 15 reconciliation rather than treating a quarter's timing movement as a perpetual product.

The exact issued count atJune end is about 131 million, with about 150 thousand treasury shares and about 131 million weighted shares. The half-year report states no diluting EPS effects. The annual report records no share-based payment or option arrangements in 2025 or 2024; this does not guarantee future financing will avoid dilution. The 131 million forward proxy remains an explicit assumption.

Valuation control	Current convention / test
Accounting basis	IFRS operating profit after manufacturing depreciation and net operating expenses

Valuation control	Current convention / test
Multiple	20 x company-specific sanctioned multiple
Shares	131 million starting-quarter denominator across the full path
FX	USD profit x 100/114 to translate to EUR once; company guide rate rather than live FX
Mechanical share sensitivity	5% more shares reduces the ceiling about 5%; 10% more reduces it about 9%, holding economics fixed
Mechanical currency sensitivity	10% more USD per EUR reduces the EUR ceiling about 9%, holding USD economics fixed

The company describes a natural revenue/cost currency hedge for EBITDA, while debt translation can affect financial results. The EUR share valuation still depends on the translation factor. Financial-result FX and interest are not silently substituted for the sanctioned operating-profit basis.

Analytical score and decomposed risks

Category	Points	Max	Evidence
Core thesis	15	20	Qualified specialty processes and switching friction; spare capacity limits broad scarcity pricing.
Cycle stage	7	10	Automotive bookings improve from weak utilization, with actual EBIT still close to break-even.
TAM expansion	9	10	Power, sensing, MEMS, photonics and medical routes are supported; deployment/capture timing remains uncertain.
Catalysts	4	5	29 October earnings, accepted automotive orders, Fab4Micro execution and photonics production from 2028.
Macro	8	10	AI power/connectivity and electrification support demand; industrial and automotive cyclicality persists.
Alpha	3	5	Technology-scope, fixed manufacturing absorption and EBITDA-to-EBIT work are useful; no exclusive customer contract inferred.
Risks	-3	0	Demand/utilization; qualification/fab execution; refinancing/cash commitments.
Total	43	60	Rounded analytical Base 72%; Watchlist. Protected Excel Base 72.

Risk class	Scored deduction	Substantive exposure
Demand and utilization	-1	Automotive concentration, customer inventories, short ordering visibility and fixed-cost amplification.
Qualification and factory execution	-1	Customer program success, technology competition, photonics timing, yield and Fab4Micro cost/ramp.

Risk class	Scored deduction	Substantive exposure
Refinancing and cash commitments	-1	Loans/leases, customer-deposit repayments, capex and potential financing dilution.

The qualification moat supports thesis quality, while current spare capacity limits broad scarcity pricing. The score recognizes several credible growth routes without assigning the full opportunity certainty. The analytical assessment and the protected portfolio Base are separate controls; the opportunity probability is applied to operating outcomes only.

Cross-book relationships and monitoring

Related exposure	Useful relationship	Boundary to preserve
SOI / engineered substrates	Soitec supplies engineered substrates while X-FAB processes qualified wafers.	Substrate demand, wafer processing and finished IC revenue use different units and margins.
Specialty photonics foundries	TSEM, GFS and X-FAB serve different platforms and customer qualifications.	Shared optical demand does not prove a universal shortage or equal capture.
SiC / GaN power	Navitas and other device designers select foundry processes; equipment suppliers support capacity.	A technology map is not a company award. Named GaN supplier competition matters.
Optical systems and packaging	Modules, coupling and packaging sit downstream from photonic wafer processing.	The complete system wallet cannot be allocated to every stage.
Broad AI compute spending	More deployed power and bandwidth can support customer demand.	General capex already overlaps the joint DC opportunity; no extra SpaceX block is added.

The next direct event is 29 October earnings. The useful telemetry is accepted-wafer receipts, automotive order conversion, technology mix, utilization, prototype-to-volume progress, manufacturing costs and executed financing. New supplier evidence should replace broad proxies rather than accumulate on top of the same underlying customer demand.

Sources, completeness and model identity

Source	Date and scope	Review completeness
X-FAB Q2 release / current presentation	30 July 2026; 10-page release and 48-page current deck	Actuals, guide, business, cost and risk evidence reviewed; original exhibits preserved.
X-FAB half-year report	1 September 2026; 25 pages	Business, risk, financial statements, accounting, borrowing, deposit, commitment and review notes read.
X-FAB annual report 2025	31 March 2026; 164 pages	Targeted business, customer concentration, equity/SBC, accounting and complete risk/competition sections; full ESG/governance review not claimed.
Newest two management calls	30 July and 30 April 2026	All visible prepared remarks, Q&A and closing read in preserved public reproductions; original audio/full-verbatim completeness unverified.
Investor Day 2025	Issuer technology, integration, expansion and finance decks	Relevant original slides and technology growth/capacity/cost assumptions read; dated plans remain labeled.
Customer evidence	Melexis 29 July release; Navitas July 2026 Q2 deck	Original primary PDFs reviewed for recovery, adoption timing and supplier scope.
Capacity/project updates	23 June grant notice and 5 October groundbreaking	Original issuer releases; end 2028 initial production timing retained.

The call reproductions reach operator closing but retain a generic first-half access banner. Audio was not synchronized. Obvious transcription errors are controlled against original financial filings and presentation facts. No issuer-certified full call transcript is claimed. Customer award values, product margins, DC allocations and exact future wafer ASPs remain unknown.

Company sources: X-FAB investor documents; financial calendar; Fab4Micro groundbreaking; LIGENTEC collaboration.

Call records: 30 July management call reproduction; 30 April management call reproduction. Customer sources: Melexis Q2 results; Navitas quarterly documents.

Model identity: X-FAB Silicon Foundries SE, 21 October 2026, selected Q4 2027. All 18 operating quarters, 15 four-quarter ceilings, product cost assumptions, probability ledger and diagnostic data are synchronized to the frozen underlying model. Recoverable prior records and exact source bindings are retained outside this clean report.